

| Nominal Returns<br>1973-2013 | T-Bills | Bonds   | Stocks  | All<br>Seasons | Permanent | GAA     | 60 /40  | Arnott  | Marc Faber | El-Erian | Buffett |
|------------------------------|---------|---------|---------|----------------|-----------|---------|---------|---------|------------|----------|---------|
| Returns                      | 5.27%   | 7.74%   | 10.21%  | 9.50%          | 8.53%     | 9.90%   | 9.60%   | 9.50%   | 9.72%      | 10.45%   | 9.82%   |
| Volatility                   | 0.97%   | 8.43%   | 15.57%  | 8.24%          | 7.29%     | 7.99%   | 10.20%  | 7.19%   | 9.73%      | 10.69%   | 14.01%  |
| Sharpe                       | 0.00    | 0.29    | 0.32    | 0.51           | 0.45      | 0.58    | 0.42    | 0.59    | 0.46       | 0.48     | 0.32    |
| Max Drawdown                 | 0.00%   | -15.79% | -50.95% | -14.59%        | -12.74%   | -26.72% | -29.28% | -27.17% | -28.14%    | -45.72%  | -47.02% |

| Real Returns<br>1973-2013 | T-Bills | Bonds   | Stocks  | All<br>Seasons | Permanent | GAA     | 60 /40  | Arnott  | Marc Faber | El-Erian | Buffett |
|---------------------------|---------|---------|---------|----------------|-----------|---------|---------|---------|------------|----------|---------|
| Returns                   | 0.99%   | 3.34%   | 5.71%   | 5.04%          | 4.12%     | 5.43%   | 5.13%   | 5.04%   | 5.26%      | 5.96%    | 5.35%   |
| Volatility                | 1.24%   | 8.73%   | 15.74%  | 8.56%          | 7.48%     | 8.25%   | 10.46%  | 7.44%   | 9.86%      | 10.83%   | 14.19%  |
| Sharpe                    | 0.00    | 0.27    | 0.30    | 0.47           | 0.42      | 0.54    | 0.39    | 0.54    | 0.43       | 0.46     | 0.31    |
| Max Drawdown              | 0.00%   | -44.75% | -54.12% | -28.77%        | -23.62%   | -27.45% | -39.35% | -25.96% | -28.70%    | -46.47%  | -49.78% |

| Real Returns<br>1973-1981 | T-Bills | Bonds  | Stocks | All<br>Seasons | Permanent | GAA    | 60 /40 | Arnott | Marc Faber | El-Erian | Buffett |
|---------------------------|---------|--------|--------|----------------|-----------|--------|--------|--------|------------|----------|---------|
| Returns                   | -0.71%  | -5.08% | -3.92% | -2.83%         | 0.92%     | -1.55% | -4.05% | -1.88% | 2.25%      | -0.05%   | -3.48%  |

| Real Returns<br>1982-2013 | T-Bills | Bonds | Stocks | All<br>Seasons | Permanent | GAA   | 60 /40 | Arnott | Marc Faber | El-Erian | Buffett |
|---------------------------|---------|-------|--------|----------------|-----------|-------|--------|--------|------------|----------|---------|
| Returns                   | 1.48%   | 5.85% | 8.61%  | 7.38%          | 5.05%     | 7.50% | 7.88%  | 7.09%  | 6.14%      | 7.74%    | 7.99%   |

| Real Returns<br>1973-2013 | T-Bills | Bonds  | Stocks | All<br>Seasons | Permanent | GAA    | 60 /40 | Arnott | Marc Faber | El-Erian | Buffett |
|---------------------------|---------|--------|--------|----------------|-----------|--------|--------|--------|------------|----------|---------|
| 1970s                     | -1.55%  | -4.23% | -5.26% | -1.39%         | 3.20%     | -0.34% | -4.56% | -0.81% | 4.37%      | 0.58%    | -4.78%  |
| 1980s                     | 3.81%   | 7.22%  | 11.67% | 8.54%          | 4.61%     | 9.57%  | 10.28% | 8.86%  | 5.62%      | 10.62%   | 11.00%  |
| 1990s                     | 1.95%   | 4.87%  | 14.71% | 6.61%          | 4.12%     | 6.90%  | 10.89% | 6.20%  | 3.71%      | 7.39%    | 13.47%  |
| 2000s                     | 0.19%   | 3.92%  | -3.38% | 4.19%          | 3.91%     | 3.71%  | -0.04% | 4.17%  | 6.41%      | 3.66%    | -2.91%  |
| 2010s                     | -1.82%  | 2.17%  | 13.73% | 6.02%          | 4.80%     | 6.06%  | 9.44%  | 5.25%  | 6.66%      | 6.20%    | 12.17%  |
| Volatility                | 2.38%   | 4.33%  | 9.78%  | 3.79%          | 0.63%     | 3.73%  | 7.05%  | 3.56%  | 1.28%      | 3.80%    | 8.86%   |

Source: Global Financial Data